

Tax-Efficient Investing

Chapter Summary

Tax-efficient asset management confronts investors with a traditional asset allocation problem—how much of each asset to hold—and also an asset location problem. The traditional asset allocation problem concerns how much you should put into bonds. But taking account of taxes means having to figure out how much of your bonds you put in tax-deferred accounts versus taxable ones. Taxes also affect asset prices, a fact that can be exploited by a savvy tax-exempt investor.

1. Pre-Tax and After-Tax Returns

Duncan was as confused as ever after talking to his financial planner, who doubled as his accountant. His thriving business was generating cash, but success brought a new set of problems: taxes, which Duncan acknowledged was a good problem to have.

Duncan pondered a list of investments provided by his financial planner in the form of the following table:

	Pre-Tax Expected Return
Private Equity Fund	10.00%
Tactical Trading Hedge Fund	12.00%
Corporate Bond	7.00%
Municipal Bond	5.00%

His accountant emphasized that these were not the relevant numbers Duncan should be considering (not least because they did not consider the underlying factor risks; see chapter 7). “There’s an old saying in this business,” he told Duncan. “It’s not what you make. It’s what you keep that counts.” In 2013, Duncan was